

JUSTIFICATION FOR AN EXCEPTION TO FAIR OPPORTUNITY (JEFO)
GE PRECISION HEALTHCARE LLC
CONTRACT SPE2D1-17-D-0015
MAGNETIC RESONANCE IMAGING (MRI) UPGRADE

- (1) Defense Logistics Agency (DLA) Troop Support, Medical Supply Chain, Capital Equipment Division, is the contracting activity.
- (2) The action submitted for approval is a JEFO supporting the acquisition of a Magnetic Resonance Imaging (MRI) upgrade for the existing GE MR750 3T MRI. The resultant delivery order will be issued under GE Precision Healthcare's Radiology and Imaging Systems Program contract, SPE2D1-17-D-0015, which is valid through February 17, 2027. This MRI upgrade is for Alexander T. Augusta Military Medical Center, Fort Belvoir, VA. This JEFO will allow an order to be placed against GE Precision Healthcare's contract without following the fair opportunity process.
- (3) The requirement is for an upgrade for the GE MR750 3T MRI for AT Augusta Medical Center Fort Belvoir. The acquisition includes hardware and software components including new coils, turnkey installation, and training. This mid-life upgrade is required to ensure extended life expectancy of the existing MRI system. Total estimated dollar value of this action is [REDACTED]
- (4) The authority waiving the competition requirements is FAR 16.505(b)(2)(i)(B), only one awardee is capable of providing the supplies or services required at the level of quality required because the supplies or services ordered are unique or highly specialized. As the Original Equipment Manufacturer (OEM), GE Precision Healthcare is the sole provider authorized and capable of upgrading the GE MR750 system, owing to its proprietary parts, system design, and specialized functionality.

The requirement is to retain the existing MRI magnet, but to upgrade software and hardware to bring the mid-life MRI to current MRI technology and comply with current Risk Management Framework (RMF) requirements.

The use of this authority is necessary because AT Augusta Medical Center Fort Belvoir has a requirement for an upgrade of its current GE MR750 3T MRI because the current system has been operating for nine (9) years, it is at the end of its service life, and utilizes dated technology. Not only is the upgrade necessary to bring the existing system up to the current technology and clinical capabilities, but it also provides a factory reset of the MRI's life expectancy and provides compliance with current cybersecurity requirements, which have shifted since the current system was put in place.

Only GE Precision Healthcare can provide the upgrade of hardware and software components due to proprietary system components on the existing GE MR750 3T MRI. Other vendors cannot provide the upgrade because their parts are not compatible with the current GE MR750 3T MRI. GE MR750 3T MRI will only operate with GE-owned proprietary and compatible software platforms. MRI units must be approved to operate on the DoD network at all times and are covered by service agreements. If a vendor other than GE Precision Healthcare, who is the OEM, were to perform work on the GE units, the warranty and DoD

[REDACTED]

Cybersecurity Agreements would be voided. GE Precision Healthcare would no longer be responsible for maintaining the equipment and the GE units would no longer be approved to operate on the DoD network. No other known vendor can incorporate its parts to function with the existing magnet. This hardware and software upgrade retains the magnet from the existing GE MRI system. The upgrade effectively results in a new unit from a functional perspective because the magnet is still useful, but the most up-to-date technology is being applied to the unit.

New software enables more precise processing and increases the speed at which images are acquired. The result of this upgrade will provide better images that are more clinically useful in locating and diagnosing abnormalities. Additionally, the software upgrade also brings important improvements to the scanner Graphic User Interface (GUI) for better control and usability throughout the MR examination. Therefore, patient care will be improved.

- (5) The contract pricing on contract SPE2D1-17-D-0015 has previously been determined fair and reasonable via comparison with commercial pricing and data other than certified cost or pricing data. As the contracting officer, I have determined based on the information above that the anticipated cost to the Government will be fair and reasonable
- (6) There are no other facts supporting the use of this JEFO.
- (7) In an effort to remove barriers to fair opportunity on subsequent acquisitions, DLA will continue to perform market research to locate other sources for any future procurements of MRI equipment and upgrades. Current vendors in the Radiology and Imaging Systems Program have the opportunity to add new products that fall within the scope of the contract at any time throughout the year, enhancing competition for future acquisitions. Furthermore, DLA Troop Support will continue to monitor the market. The results of the current market research indicate GE Precision Healthcare LLC is the only known supplier that can meet the requirements of AT Augusta Medical Center Fort Belvoir.
- (8) As the Contracting Officer, I hereby certify that the information contained in this justification is accurate and complete to the best of my knowledge and belief.

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Date

SHAWN CARNEY
Contracting Officer
DLA Troop Support, FSDA

I hereby certify that the requirements which form the basis of this justification are accurate, that these supplies meet the Government's minimum needs, and that this justification is accurate and complete to the best of my knowledge.

Date

[REDACTED]
Biomedical Engineer
DLA Troop Support, FSDA

[REDACTED]